

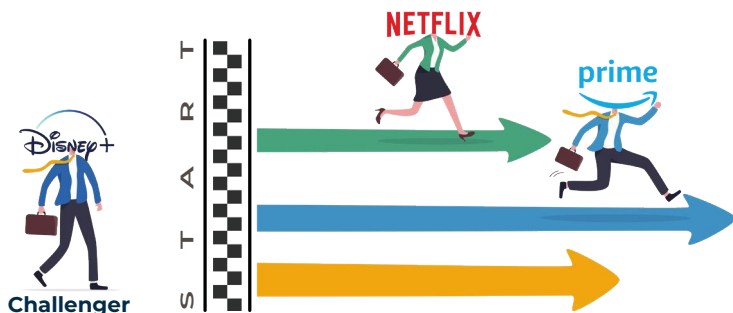
- Regulatory changes shift the dynamics of the industry from one set of players and create space for new players.
- Forces of technology have allowed the centralization of some industries, at the same time democratizing some.

The risk of industry disruptions is one of the most significant risks that worry entrepreneurs and investors of established companies. This is primarily because,

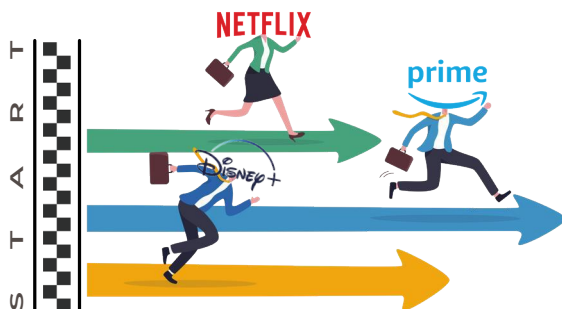
- The firm's product or business model may become obsolete and lose market to disruptive forces.
- They are expected to

- Respond and thrive in the face of disruption.
- Keep their firm, its business model, and its people flexible enough so that they benefit in case of any disruptive force rather than stand at a position of disadvantage due to their rigidity.

In the beginning, almost all challengers look like the previous ones that had failed. Most of the incumbent firms are skeptical that innovation and disruption will take place so, they adopt a wait-and-see approach to the new challengers.



As the challenger grows and gains scale and it becomes clearer that the business model is viable, incumbents start responding.



Lets look at the different kinds of disruptions as discussed by Clayton Christensen.